

In Iraq, oil is a public, not a private, resource. The operating principle is that all Iraqi oil belongs to all Iraqi people. After Mosul, this principle remains operative. How Iraqi oil is to be managed is the key point of dispute between Baghdad and Erbil, the regional capital of Iraqi Kurdistan.

Excessive centralization of political and economic power in Baghdad has allowed the Government of Iraq (GoI) headed by Prime Minister Nouri Al-Maliki to strangle Iraqi Kurdistan. This follows past practices of the regime of Saddam Hussein.

In consequence, Iraqi Kurdistan has developed a separate transport and marketing channel via its neighbors, primarily Turkey but also Iran.

Most of Iraq's oil being exported is located in the supergiant oilfields of southern Iraq, completely within the predominantly Shia region under control of the Government of Iraq (GoI) headed by Prime Minister Al-Maliki. This oil is the overwhelming primary source of public revenue to be shared among all regions/provinces.

It's all take and no give. While Prime Minister Al-Maliki's government claims to have sole authority over oil and gas, it fails to ensure security and provide basic services, including electricity, to its citizens. It is indeed a failed government; more so now than ever before with the fall of Mosul and its consequences.

Iraq is not about resource availability. Iraq is never a country about scarce economic resources. Iraq is about leadership, and the lack thereof.

How does northern oil flow? Kirkuk is in the southeast of northern Iraq. Before Mosul, through two Iraq-Turkey Pipelines (ITP-1 and ITP-2) to the port at Ceyhan, Kirkuk oil was piped southwest to Baiji where Iraq's largest refinery complex is located, then north to Turkey. Except for a very short portion through Iraqi Kurdistan, both ITPs were in GoI-controlled territory. Persistent explosions in GoI-controlled territory frequently disrupted oil flows. Areas along the pipeline became so dangerous that sabotage damages could not be repaired.

In addition to Kurdistan oil being produced near Zakho not far from Turkey, another major oil producing facility is located between Mosul and Kirkuk at Taqtaq. See the maps below. At an earlier time of cooperation between Erbil and Baghdad, oil from Taqtaq was piped southeast to Kirkuk, then southwest toward Baiji and north to Turkey. Since that time, however, Kurdistan has installed a pipeline from Taqtaq direct to the northwest to connect with one of the two ITPs on the Turkish side of the border.

Now, in order to avoid the areas where explosions persisted, which is now under control of ISIS and other Sunni insurgents, efforts have been made to pipe Kirkuk oil directly northwest to Turkey instead of southwest and north via Baiji, which is currently impossible. Pipeline capacity to take the larger amount that Kirkuk is capable of producing is currently limited, but Kirkuk oil is flowing and pipeline capacity is being increased.

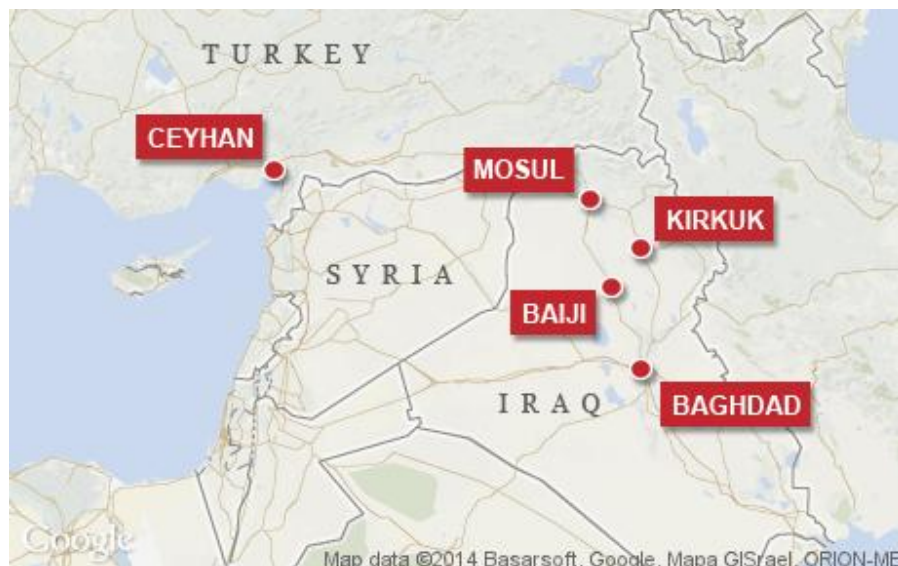
No matter where from or how much oil is transported from Iraqi Kurdistan and marketed, all Iraqi oil belongs to all Iraqi people. Kurdistan now has the opportunity to recover its full 17% share of national revenue since this agreement/understanding was made. This would include 17% share of not only the oil that has been exported, but also 17% share of the oil consumed domestically. Given the fact that the KRG now provides security and other basic services to a larger area and population the GoI is unable to serve, this percentage should obviously be increased to no less than 25%, especially when considering KRG efforts and costs in securing international borders and containing ISIS and other Sunni insurgent aggression that are the national responsibility of the GoI.

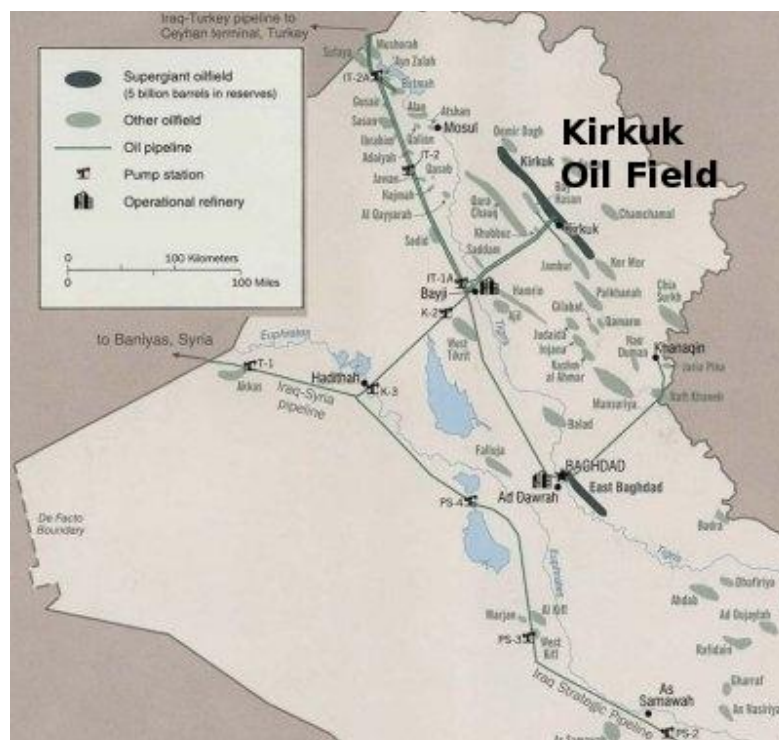
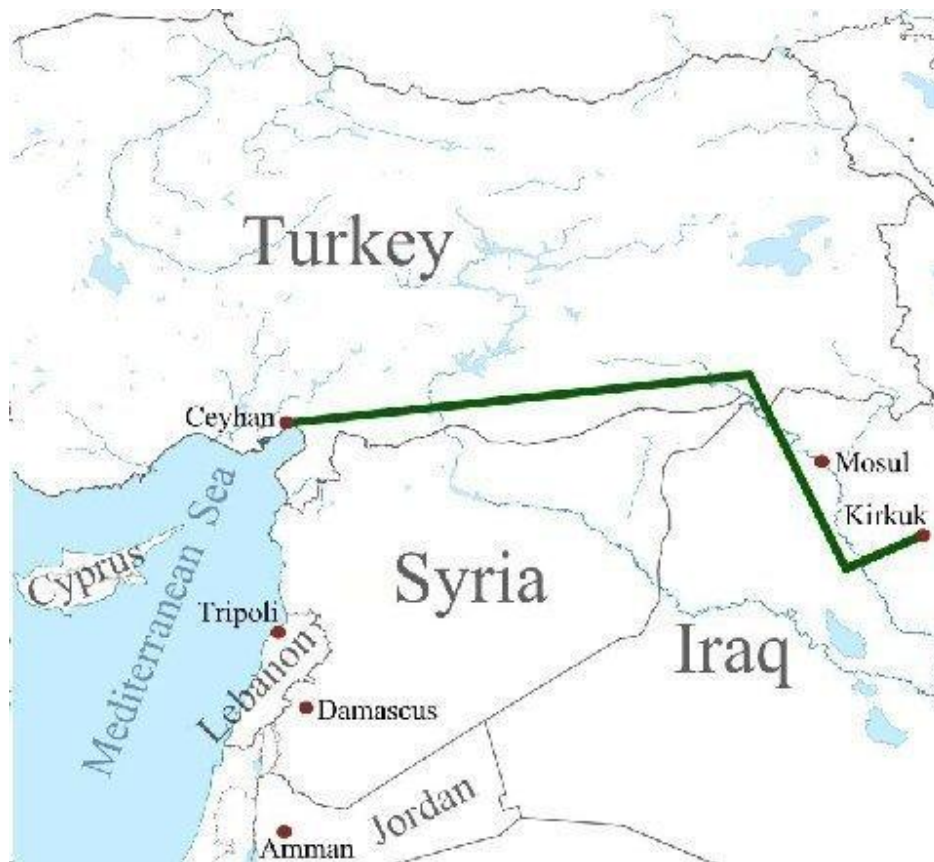
Oil from northern areas in Iraqi Kurdistan is not under GoI control. Oil from old wells in the Kirkuk supergiant oilfield was until recently under GoI control, but it nearly fell into the hands of ISIS and other Sunni insurgents until Kurdistan security forces assumed control when GoI security forces fled.

Excerpt: "Overall, Iraqi Kurdistan's proven reserves are estimated to total 12 billion barrels of oil and 25 trillion cubic feet of gas. In addition, unproven reserves are expected to top 45 billion barrels of oil and approximately 100-200 trillion cubic feet of gas. Iraq's oil reserves as a whole are estimated to total 150 billion barrels (including the Kirkuk oil field's 25 billion barrel reserve)."

Known since pre-Biblical times for the fires from gas escaping through cracks in the ground, oil was discovered in Kirkuk in 1927. Once upon a time the Kirkuk oilfield was the largest in the world. The Kirkuk oilfield is capable of producing at least 500,000 barrels per day.

According to the Iraq Constitution, Baghdad is entitled to manage old, pre-2006, wells while the regions and governorates (provinces) are allowed to manage new, post-2006, wells. Within the limits set by the Iraq Constitution, the Kurdistan Region is allowed to enact its own laws. International oil companies (IOCs), including some of the largest in the world (Exxon Mobile, Chevron, Gasprom Neft, Total, etc.) have examined national and regional laws, and have entered into exploration and production sharing agreements with the Kurdistan Regional Government (KRG). Their legal interpretation of these laws has been confirmed by investment of hundreds of millions of dollars in Iraqi Kurdistan since 2003, perhaps 75% within the past five years alone.





Vox
12 Jun 2014

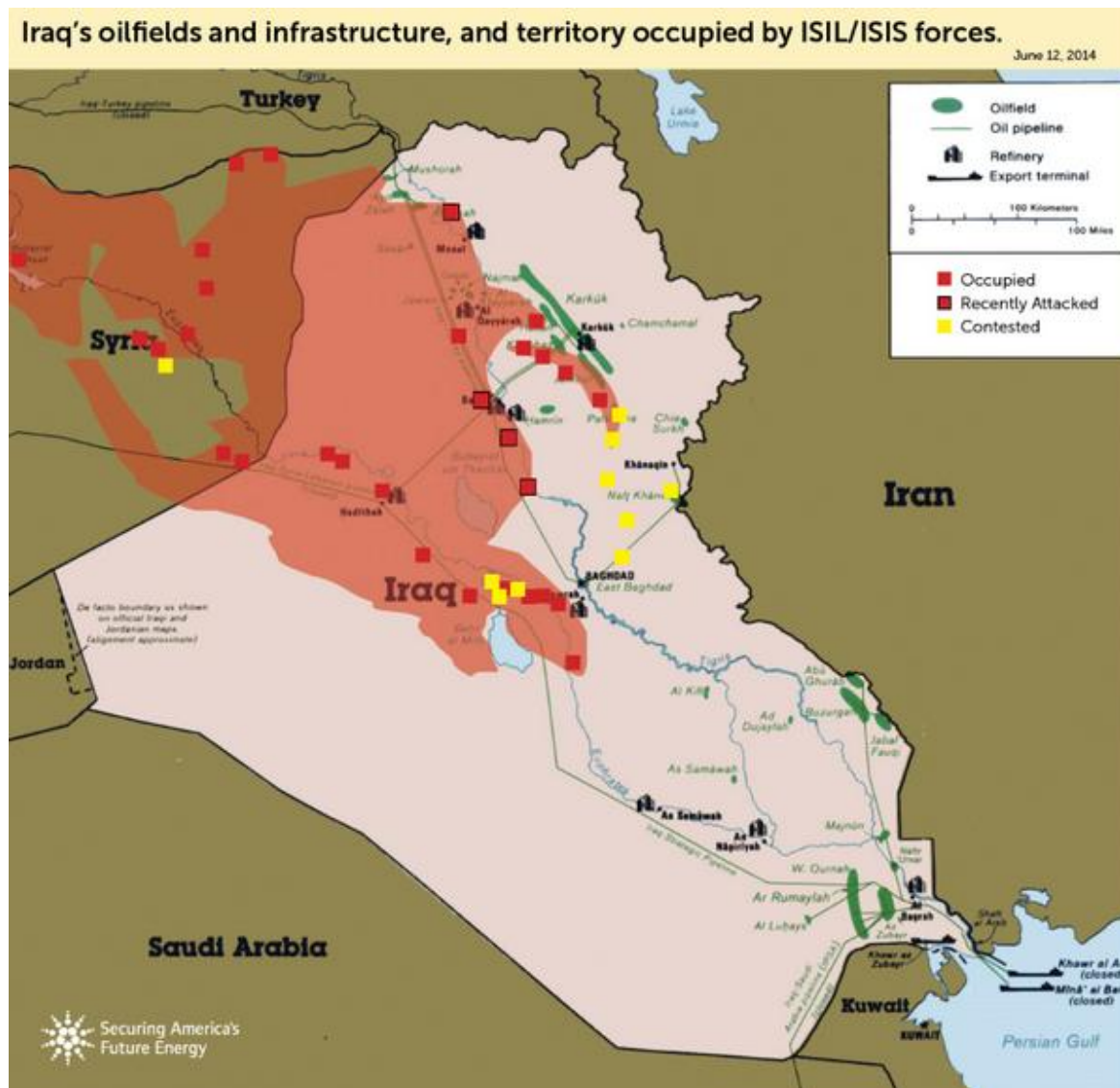
This map shows how violence in Iraq could threaten the oil supply

Updated by Brad Plumer

Iraq is in chaos, as a group of Islamic militants has overrun the northwestern part of the country. And that means plenty of headlines like this one: "Oil prices spike as Iraq violence flares."

So what does the violence in Iraq mean for oil? So far, the turmoil has only affected a small slice of the oil infrastructure and hasn't touched any of the major oil fields in the south (which produce 75 percent of Iraq's oil). But there's still the potential for things to get much worse.

This map from Securing America's Future Energy is a great place to start:



Some basics: Iraq has the world's fifth-largest proven oil reserves. But the country has only recently begun churning out significant amounts of crude oil again (production dropped sharply after the 2003 US invasion).

In April 2014, Iraq was producing an estimated 3.3 million barrels per day — equal to about 4 percent of global supply. And the country was expected to keep ramping up production, with plans to produce at least 5 million barrels per day in the years to come.

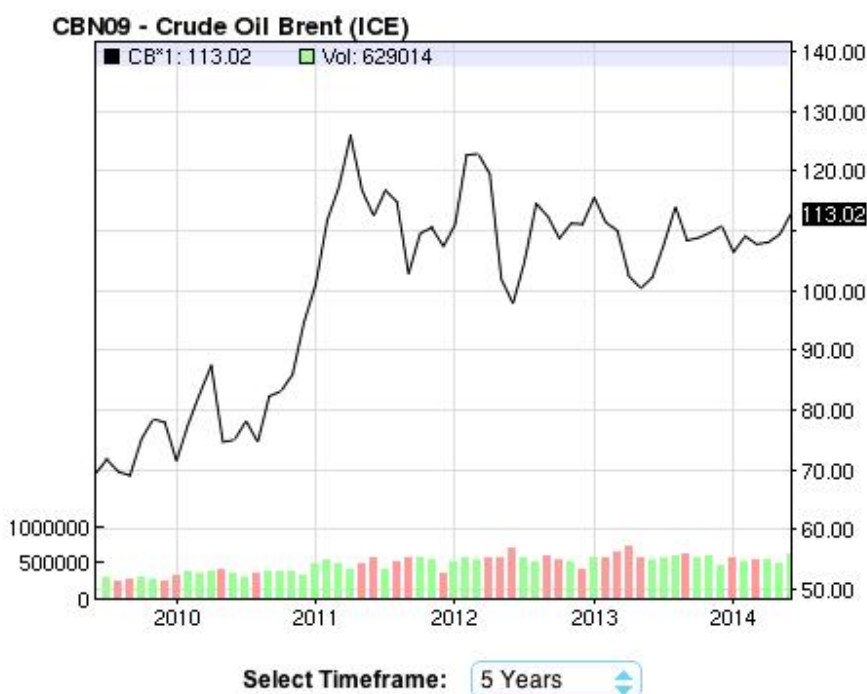
Or at least that was the idea. The recent takeover of northwestern Iraq by the Islamic State of Iraq and the Levant (ISIS) could complicate those plans considerably.

True, as the map above shows, ISIS isn't close to any of the massive oil fields in the southern regions of Iraq, which produce 75 percent of the country's oil. And ISIS has yet to enter the Kurdish regions in the north, another major oil-producing area.

But the fighting has threatened some of Iraq's other oil infrastructure, including a pipeline that can deliver 600,000 barrels of oil per day from Kirkuk to the Turkish port city of Ceyhan. (That pipeline had been damaged by a 2013 attack and was offline receiving repairs — that work has now been halted.)

There's also potential for things to get a lot worse. If the conflict spreads further into the Kurdish regions, that could disrupt operations in the large Kirkuk oil field near the city of Mosul, which now produces around 260,000 barrels of oil per day — and accounts for one-sixth of the country's proven reserves. Iraq had plans to invest heavily in that oil field in the years ahead, and that's a lot harder now.

Oil markets, for their part, appear jittery but not yet panicked. The price of Brent crude oil for July delivery jumped 2.8 percent on Thursday, to \$113 per barrel — the highest level since last September:



It's worth noting that prices have been hovering around this level for the past three years. So clearly Iraq isn't the only reason prices are high. More fundamentally, there's a supply and demand issue — the world is growing and demanding more oil, and suppliers are struggling to keep up.

Still, the recent growth of Iraq's oil industry was supposed to bring more oil to the global markets and ease this pressure somewhat. But as we've seen repeatedly over the last three years, unexpected conflicts — in Libya, in Syria, in Venezuela, and now in Iraq — always seem to throw a wrench in those plans.

video report: <http://www.voanews.com/content/kurdish-peshmerga-force-secures-kirkuk-and-its-oil/1961585.html>

Kurdish Peshmerga Force Secures Kirkuk, Its Oil

by Jeffrey Young

The Kurdistan regional government has sent its Peshmerga troops into the adjacent province of Kirkuk to drive out insurgents, and to secure the area's rich oil fields. By doing this, the regional government has added a fourth province to the three it officially controls. The oil also provides revenue that could make an independent Kurdistan economically strong.

Kirkuk, in northern Iraq, has fabulous oil wealth. It is an ethnically divided city. For years, Kurdish, Arab and Turkmen factions fought each other. Then, insurgents including the Islamic State of Iraq and the Levant - or ISIL - unleashed their terror.

In June, Kurdistan Regional Government (KRG) Peshmerga troops, reputed to be some of the toughest fighters in this region, moved into Kirkuk to restore stability, and to protect the oil beneath it.

A monument in Kirkuk, a well-head surrounded by swords, is highly symbolic of both the value of the province's oil, as well as the fight to control it.

Peshmerga member Mohamed Swani explains that Kirkuk's oil now belongs to Kurds, not Baghdad, which objects to the takeover.

"Now, this place is Kurdistan. The oil is for Kurdistan. We must keep the oil, and the defense of the land, for all the places in Kurdistan."

This reporter went out with the Peshmerga on a security patrol, to see how they keep the city and province safe, as well as the oil the Kurds want for their hoped-for independent state.

We left the military compound and pulled out into the street, our vehicle packed with troops, guns always at the ready.

The ride can be wild and bumpy, but the message put out by every Peshmerga patrol is clear - order will be kept, and those who challenge it face the barrels of many guns.

Since these Peshmerga patrols began in June, Kirkuk has enjoyed more peace than at any time in the past decade. While this patrol covers the city, other Peshmerga units have been out in the province driving out ISIL and other insurgents.

Some Iraqi government troops dropped their guns and ran when ISIL swept into Iraq, but the Peshmerga did the opposite - they engaged ISIL, known as Dash - and drove them out. Peshmerga Kamal Mohamed Mustapha explained.

"You know, Dash came - to try to control Kirkuk. But when we heard about Dash trying to do that, we came over to Kirkuk, and took Kirkuk from them. We kicked them out of Kirkuk

now," said Mustapha.

The Kirkuk oil field and its pipeline, and oil patch, Bai Hassan, are under Kurdish control. Their pipelines are now rerouted to send the oil north and on to Turkey, to the port of Ceyhan.

Iraq's central government has angrily reacted to the KRG's takeover of Kirkuk and these oil fields. But the Kurds have made it clear that they will not give them back to Baghdad. This oil, as Kamal Mohamed Mustapha says, guarantees the viability of an independent Kurdistan.

"This oil is the future of Kurdistan, so if there is no oil, there is no future," says Mustapha.

The Peshmerga say that if Baghdad wants to take Kirkuk back by force, they are ready to fight.

Al-Monitor
20 Jul 2014

Kurdistan Region challenges Baghdad with oil exports

By Walid Khoudouri Translator Kamal Fayad

Iraqi Kurdistan continues to export oil to the Turkish port of Ceyhan, in another move played in its game of chess with [Baghdad](#). Just like in any real game of chess, the moves undertaken by nations in their virtual games can be successful or miscalculated to the point of being deadly. Here, we find ourselves in Iraq, where important oil export revenues titillate the autonomous province's desire to completely break away from Baghdad and play in the game of nations, to the point of pushing toward the partitioning of Iraq — an outcome that can still be avoided. In that context, is it possible for the political powers, which have ruled the country since 2003 and brought Iraq to this dire situation, to find a solution not predicated on civil war or partitioning?

Oil plays an important role in determining the politics of the region. It is also widely known that Iraqi Kurdistan has succeeded in establishing an important oil industry over the past 10 years. Furthermore, international oil companies continue to flock in droves to the region as the Kurdish oil sector develops in scope, at a time when indications suggest that future reserves might be greatly expanded if development continues.

As proof thereof, the province's [\[regional\]](#) government has signed around 50 production-sharing agreements with various oil companies. It started with smaller companies, then with international behemoths such as Exxon, Total, Chevron and Gazprom. The relatively small Turkish company Genel Energy tops the list of companies operating in the province, insofar

as the quantity of proven reserves is concerned (approximately 1.6 billion barrels), thanks to its strong ties with Turkish officials and the fact that it is run by former British Petroleum CEO Tony Hayward.

Overall, Iraqi Kurdistan's proven reserves are estimated to total 12 billion barrels of oil and 25 trillion cubic feet of gas. In addition, unproven reserves are expected to top 45 billion barrels of oil and approximately 100-200 trillion cubic feet of gas. Iraq's oil reserves as a whole are estimated to total 150 billion barrels (including the Kirkuk oil field's 25 billion barrel reserve).

Iraq today produces around 3 million barrels of oil per day (ranking after Saudi Arabia in OPEC). Production is expected to be between 6 and 9 million barrels per day by 2020. By comparison, Iraqi Kurdistan produces around 200,000 barrels per day, a quantity that officials claim can be increased to approximately 1 million barrels per day in 2015 and around 2 million barrels per day by 2020.

The importance of the province's oil lies in the additional supply that it provides to world markets and the investment opportunities that it offers to international companies. It should be noted here that a large number of oil companies with operations in Iraqi Kurdistan have on their boards of directors retired US ambassadors and military officers who had served in Iraq since 2003.

Iraq has faced many problems and disagreements since its occupation in 2003. Among these was assigning responsibility for the development of the oil sector, with all attempts to adopt a law organizing the sector failing to pass since 2007. Constitutional articles, specifically those pertaining to the oil sector, were vaguely worded and open for interpretation, making agreement on them impossible to achieve. In that context, Baghdad considered that ownership of oil reserves belonged to the people as a whole, and not to any one oil-producing province. It was also of the opinion that the only institution representing the people was parliament, and that the development of production, negotiations and agreements with international companies were the purview of federal institutions alone.

Iraqi Kurdistan's government objected to this interpretation of Article 112 of the Iraqi Constitution. Erbil insisted (as per the first part of Article 112) that the constitution only gave federal authorities control over oil fields discovered prior to 2006 (before the oil law was drafted). The fields that have been discovered recently (after 2006), and which constitute the majority of fields discovered in the province, are to be developed by the provinces themselves.

The provincial government did not content itself with this legal disagreement. Erbil quickly and unprecedentedly began entering into contracts with approximately 50 international oil companies, without the knowledge or approval of the federal government. It then asked Baghdad to pay those companies hundreds of millions of dollars for expenses stipulated to in the contracts. Baghdad objected to paying for contracts of which it had no prior knowledge. The disagreement formed the nucleus of a major crisis for the operating companies themselves, the majority of which were small independent enterprises. As a result, these

companies began putting pressure on the provincial government to push Baghdad into paying the contractual obligations because they needed liquidity to maintain their operations.

Disagreements gradually escalated as the provincial government refused to export pledged oil through Iraqi state institutions. As a result, Baghdad suspended disbursement of its share of the country's overall oil subsidies, amounting to 17% thereof. This left the provincial government unable to pay its employees' salaries and retirement pensions. It also forced it to postpone payments to dozens of engineering firms operating in the province. The disagreement intensified when the provincial government insisted on building a pipeline that directly connects the province's fields with the Turkish-Iraqi pipeline system in Turkey. This means that the pipeline only passed through [Iraqi Kurdistan](#) and ran directly to Turkey, thus avoiding any supervision by the federal government.

The daily Platts Energy Bulletin indicated that, according to available information up to June 24, the Kurdish provincial government was earning about \$100 million for every million barrels of crude oil exported through Turkey. This meant that it was selling the oil at a 9% discount compared to oil of similar quality. Specifically, it was selling barrels at a cost of \$101 per barrel, while the cost of oils similar in characteristics (Russian Urals crude oil) sold for \$110 per barrel. In addition, the provincial government was paying a \$1-per-barrel transit fee to use the Turkish pipeline.

Refineries in countries of the Mediterranean basin — such as Malta, Morocco and Italy — declined to buy oil from Iraqi Kurdistan because Baghdad began taking legal action against the exportation of oil. Furthermore, a quantity of oil was offloaded at the Israeli port of Ashkelon. However, in light of the secrecy policy regarding the destination of exports, it remains unclear whether the deal with Israel was an on-the-spot, one-off deal, a long-term deal, or one where the Israeli company that received the oil intended to resell it in other markets or refine it locally.

Iraq Oil Report
17 Jul 2014

Kirkuk oil starts to flow into Kurdistan

By KAMARAN AL-NAJAR, BEN LANDO AND PATRICK OSGOOD of Iraq Oil Report

KIRKUK - Iraq's autonomous Kurdistan region has begun pumping crude from Kirkuk into its own independent oil infrastructure, days after Kurdish Peshmerga forces took full control of fields that have long been managed by Iraq's federal government.

The flow of oil signals the Kurdistan Regional Government's (KRG) intention to continue solidifying its control over Kirkuk, the epicenter of a decade-long territorial dispute. The move is also likely to exacerbate the political divisions between Iraqi Prime Minister Nouri al-Maliki's administration and the increasingly independence-minded KRG.

"We were surprised that a group of Peshmerga from the Kurdistan Democratic Party, accompanied by a group of civilians, attacked production plants in Dibis district," Oil Minister Abdul Karim Luaibi said at a press conference in Rumaila, in Basra, on Wednesday. Dibis district is a majority-Kurdish area with a sizeable Arab population 35 kilometers northwest of Kirkuk city, near Avana Dome, one of the major formations of the Kirkuk oil field.

Oil is now traveling through a new pipeline from Kirkuk into Kurdistan, according to three officials from the federal North Oil Company (NOC) - which has historically managed Kirkuk's oil production - as well as an industry official in Kurdistan briefed on the pipeline project. Flow rates have reached as high as 120,000 barrels per day (bpd), according to one of the NOC officials and the industry official.

The KRG has been preparing to transport Kirkuk oil for weeks. In coordination with Kurdistan's Ministry of Natural Resources (MNR), the Iraqi company KAR Group has built the new pipeline - 36 inches in diameter and 27 kilometers long - connecting NOC and KRG infrastructure.

It originates at the Avana Dome, which has been under NOC control for decades, and travels to Khurmala Dome, which the KRG has operated since 2007. Several other smaller fields, including Bai Hassan, are already linked with Avana via smaller pipelines, so the new Avana-Khurmala pipeline effectively connects Kurdistan to the majority of the NOC's Kirkuk's oil production.

"The [Avana-Khurmala] pipeline is in commissioning," said the industry official - a process that involves filling the pipeline with water, testing its integrity under pressure, and then flushing the water out by displacing it with crude oil. "If you look at the volumes needed to clear the line of water as part of that, those kinds of [crude oil] flows are needed."

NOC has managed Kirkuk's oil resources for decades, including the Avana and Baba domes of the Kirkuk field, the Bai Hassan oil field, and smaller fields. Their combined production capacity is about 420,000 barrels per day (bpd), according one of the NOC officials, though they are currently producing only about 160,000 bpd.

The Baghdad government lost its hold on Kirkuk in June, as federal security forces retreated in response to a major offensive by the Islamic State of Iraq and al-Sham (ISIS). Kurdish Peshmerga forces quickly filled the security vacuum, giving the KRG almost full control of a swath of oil-rich territory whose formal status has been contested for the past decade.

For nearly a month after the ISIS offensive, the NOC continued to operate Kirkuk's oil fields at Baghdad's direction. But then the federal Oil Ministry ordered the NOC to dismantle the valves on the KRG's new Avana-Khurmala pipeline - and the KRG responded, on July 11, by deploying Peshmerga troops to take over almost all of the NOC's facilities.

Around 200 NOC staff at the fields commandeered by the KRG have been relocated to secondary facilities in the area, including a water treatment plant, according to one of the NOC officials. The industry official in Kurdistan said NOC engineers might be offered employment with the KRG on Sunday.

Some NOC workers will likely be reluctant to accept such an offer, however, given rumors of threats from Baghdad.

"The Minister of Oil ordered the NOC Director General to treat any employees who will work with KRG in Dibil district as ISIS terrorists," said one of the NOC officials.

Even before the June ISIS offensive, the NOC had been forced to cut its production drastically. Much of Kirkuk's oil has historically been exported through the Iraq-Turkey Pipeline (ITP), which runs from the gathering station at Avana, southwest to the station at Baiji, then north past Mosul before entering Turkey; that pipeline has been unusable since March 2, because insurgents have bombed it and prevented technical crews from repairing it.

In April, Kurdish leaders and NOC officials were in negotiations to connect Kirkuk fields with the KRG's independent export pipeline to Turkey, which bypasses territory controlled by ISIS. A proposal was sent to Baghdad, two NOC officials said, but the talks faltered because of political complications.

The deal would have effectively moved the ITP route northeast, into territory controlled by the KRG. While the NOC moved forward with the plans, it did not have formal and final permission from the Oil Ministry.

KAR Group also plans to build a pipeline linking the other major formation of the Kirkuk oil field, Baba Dome, with Avana – and, by extension, with the KRG pipeline infrastructure. The company has already acquired the pipe required for the link, but plans to lay the pipeline have been postponed, according to the industry official and one of the NOC officials.

In better times, the NOC exported most of its oil, and sent much of the remaining crude to the Baiji refinery, in Salahaddin. Now, however, not only have exports through the ITP stopped, but the flows to Baiji have also been cut because the refinery is offline with the surrounding area controlled by ISIS.

As a result, the NOC has been using only 30,000 bpd of its production, sending it to the Kirkuk refinery. Another 130,000 bpd has been produced for the sake of extracting about 200 million cubic feet of associated natural gas, which is necessary for feeding local power plants and gas bottling plants.

Prior to the commissioning of the Avana-Khurmala pipeline, the excess crude oil was re-injected - a wasteful practice that harms the long-term productivity of the field. Yet, without export or refinery options, re-injection has been the only alternative to shutting in production and losing the natural gas that provides electricity.

NOC officials said that the Baba dome of the Kirkuk oil field is now supplying the Kirkuk refinery. The Bai Hassan field, which previously had been providing the refinery feedstock, has now been earmarked to provide the KRG's oil flows to Khurmala.

Kirkuk production capacity appears to be part of the KRG's plan to hike its oil exports via Turkey. The KRG needs the money because Baghdad, amidst the bitter political disputes, has stopped delivering Kurdistan's monthly \$1.2 billion budget disbursement.

In light of this cash crunch, the KRG has taken other steps to expand the capacity of its export pipeline. Two oil pumps have already been moved from a pumping station in Feyshkabour – in northwest Kurdistan, operated by Norway's DNO – to the pumping station facility at Khurmala, and have been installed, according to an industry official involved in the project. These pumps will allow the KRG to increase the flow of oil through the KRG export pipeline from the Taq Taq and Khurmala Dome oil fields and, potentially, from the Kirkuk oil fields connected to Khurmala Dome.

Blending Kirkuk crude with the current KRG blend of oil from the Tawke and Taq Taq fields in the region would be technically possible, one of the NOC sources said. But that move would add a significant layer of political and legal complication to the already contentious pipeline exports that Kurdistan is trying to sell via the Turkish port of Ceyhan.

Instead, the MNR may decide to send NOC crude to the Kalak refinery via the Khurmala station. This would free up oil from Khurmala Dome, which is currently used to feed the refinery, to be exported through the region's pipeline to Ceyhan.

The complexities of whether and how to use NOC crude within the Kurdistan oil system are compounded by internal and external political risks. The issue of who controls Kirkuk, and its oil, remains unsettled with Kirkuk's own communities and with Baghdad.

Representatives of Kirkuk's Sunni Arab and Turkomen populations have voiced opposition to the KRG's absorption of the NOC's fields.

"When the regional guard forces came and seized control over some of the oil fields in Kirkuk, after they dismissed Arab workers from the people of the province and brought in staff from the region to replace them for field management, this action was a clear violation of the Constitution, which stipulates the mutual benefit of oil wealth that belongs to all," said a July 15 statement from the Arab members of Kirkuk's provincial council.

"Peshmerga control of some oil fields is a clear violation of the Constitution, and this deprives the components of the province of the common benefit of the oil wealth, which is property of all Kirkuk people," said a statement released by the Iraqi Turkomen Front on July 12.

The PUK, the Kurdish political party that has long dominated the Kirkuk political scene, is wary of the intentions of the KDP, the KRG's largest party. The two parties effectively split control and patronage of the Kurdistan region, including security forces that report primarily to the party leadership.

"PUK does not oppose the idea of Kurds taking control over the oil fields of Kirkuk, but PUK is not happy that a force from Erbil was assigned for the operation," said Fareed Asasard, a member of the PUK's 30-person leadership council. "There are Peshmerga in Kirkuk, they

could have been assigned for the task. The Kirkuk administration should have been consulted in the process of controlling the oil fields."

Baghdad leaders are evidently wary that Kurdish forces will continue seizing federally managed oil infrastructure. The Iraqi Army this week has deployed two additional battalions to the Naft Khana oil field, not far from Kurdish-controlled areas in Diyala province, according to a local KDP political leader.

Reuters
26 June 2014

With new grip on oil fields, Iraq Kurds unveil plan to ramp up exports

(Reuters) - Iraq's self-ruling Kurds outlined plans on Wednesday to swiftly ramp up oil exports now that their forces have taken control of Iraq's main northern oilfields, a move that could tear up the settlement holding Iraq together since the fall of Saddam Hussein.

Kurdish Natural Resources Minister Ashti Hawrami told Reuters the Kurds had plans to increase their exports eightfold by the end of 2015, including by pumping oil from the fields taken by Kurdish fighters two weeks ago.

"We expect to be able to export 1 million bpd by the end of next year, including crude from Kirkuk," he said, although he insisted the Kurds would share the proceeds with Baghdad.

"We want to work with Baghdad under the constitution, and they will get their share of the oil they export from Kirkuk."

The central government in Iraq firmly opposes Kurdish oil sales, saying they violate the constitution. Increasing exports to such levels would radically alter the balance of power in Iraq, potentially requiring the central government to seek payment from the Kurds for some revenue, rather than the other way around.

Two weeks ago Kurdish peshmerga troops took control of Kirkuk - a city Kurds consider their ancestral capital - and outlying rural areas rich in oil, expanding their territory by more than a third.

The Kurds say they were filling a security vacuum after Iraqi troops fled from Sunni fighters of the hardline Islamic State in Iraq and the Levant, who seized Mosul, the biggest city in northern Iraq, at the start of a lightning offensive on June 10.

Hawrami told Reuters the fall of Mosul had transformed Iraq, suggesting this would require a new settlement over oil rights.

"Resources and revenues must be shared. But pre-Mosul Iraq has gone and there is now a new reality," Hawrami said during an interview at his office near the Kurdish regional parliament.

"We will not be dictated to by some people in Baghdad who want to centralise power, to bully and intimidate. We need a real federal system based on power sharing and revenue sharing."

Hawrami said fuel shortages in Iraqi Kurdistan created by the ISIL-led offensive should ease in the next couple of months as the Kurdish government takes steps to liberalise a part of the market and help increase imports of gasoline and diesel.

DEAL UNRAVELS

Iraq's Kurds have prospered since the fall of Saddam in 2003 while ruling themselves under a settlement which provided for all Iraqi oil to be sold by the government in Baghdad and the Kurdish region given a fixed percentage of the total income.

But that deal has unravelled this year after the Kurds began pumping their own smaller amounts of oil to port in [Turkey](#) and the central government cut off their share of budget funds. A tanker of crude from Iraqi Kurdistan was recently delivered into [Israel](#). The Kurds deny selling oil to Israel.

The 125,000 barrels of oil per day the Kurds have so far been able to pump abroad provides only a fraction of the money they have received in the past from Baghdad, but control of the oil fields in Kirkuk could bring a much larger windfall.

U.S. Secretary of State John Kerry visited the Kurdish capital Arbil on Tuesday to urge the Kurds to support an inclusive government in Baghdad. But privately some Kurdish officials suggest they are finished with Iraq and are waiting for an opportunity to break free, with control over most of the oil in northern Iraq making that easier to envision.

Western oil firms have rushed to do business with the Kurds, defying blandishments from Baghdad, which says any such deals are illegal. About 20 Western energy executives were waiting to meet Hawrami on Wednesday when Reuters visited his office.

Iraq's northern oil fields around Kirkuk have been cut off from exports for months because Sunni insurgents have destroyed the main pipeline to Turkey and threatened any engineers sent to fix it.

Hawrami said the only reliable way to resume exports was to hook up Kirkuk to the separate pipeline operated and guarded by the Kurds.

"We agreed with the North Oil Company and Baghdad to link the three domes at Kirkuk and other adjacent fields to our export pipeline about three months ago, and the construction of the pipeline is already completed. It needs to be tested and commissioned, but it should not take much time," Hawrami said.

"Baghdad agreed to link into our line as their own pipeline has been sabotaged so many times. It is now in territory wholly controlled by insurgents, and even if they could get it back it would take 6-12 months to repair it as it has been so badly damaged," he said.

He added that the Kurds would not act on their own: "We need to have an agreement with Baghdad. We're not going to start exporting oil from Kirkuk unilaterally."

Hawrami said exports could double "within a month or so" to around 250,000 bpd and hit 400,000 bpd by the end of 2014.

The Kurdish export pipeline has a capacity of 300,000 bpd but could be quickly expanded with a few minor tweaks and additional pumping stations, he said, dismissing the idea that threats from Baghdad would keep firms from buying Kurdish oil.

"Oil companies and governments around the world are now showing increasing interest in buying our crude. Many have already done so," he said.

"Baghdad made the same threats when the big energy companies first wanted to come and work here," Hawrami said. "We know how this plays out."

Al-Monitor
11 Jul 2014

UPDATE: KRG takes Kirkuk, Bai Hassan fields

By KAMARAN AL-NAJAR, BEN LANDO, PATRICK OSGOOD AND STAFF of Iraq Oil Report

KIRKUK - A deal to link the Baghdad-controlled parts of Kirkuk's oil fields to the Kurdistan export pipeline would have brought a quarter million barrels of Iraqi oil exports back online relatively quickly – and the collaboration could have eased tension that is stalling political and military progress.

As of Friday morning, that deal is now effectively dead.

At dawn, the Kurdistan Regional Government (KRG) dispatched its armed forces and civilian staff to take over nearly the entire North Oil Company (NOC). Workers were told that the KRG is now in charge of the Kirkuk, Bai Hassan and other fields with nearly 500,000 barrels per day (bpd) of production capacity, three senior NOC officials said.

"They told the operators in all our stations, including Avana [part of Kirkuk]: 'From now on you are under the KRG authority. If you want to continue in service then we are going to pay you. If not then you can go back home,'" a senior NOC official said. "They kicked out the commissariat staff and some operators."

The mobilization of Kurdish Peshmerga soldiers and civilian oil engineers came a day after "the Minister of Oil ordered ... the NOC to dismantle the valves" of a KRG-installed pipeline connecting KRG-controlled Khurmala Dome to the NOC-controlled Avana Dome, the official said. The new system would bypass insurgent territory and bring exports to Turkey back online.

An insurgency has kept the Iraq-Turkey Pipeline (ITP) offline since March, forcing the NOC to cut production from its fields by half and shutting in needed oil revenues.

"This morning, the Peshmerga of KRG totally dominated the Dibis area with all the oil infrastructure," the official said. Dibis is a Kurdish-majority but officially Baghdad-administered area of Kirkuk where the Avana dome and related infrastructure is located.

The KRG's Ministry of Natural Resources (MNR), in a statement Friday, confirmed both cause and effect, though in harsher terms. It said the Oil Ministry's order to disassemble the Khurmala-Avana pipeline was in effect state sabotage.

"Staff at the North Oil Company that previously operated these fields have been informed that from tomorrow they will be expected to cooperate with KRG management," the statement said. "Those who do not want to do so can leave."

This alleged deal, like most between Erbil and Baghdad as well as the technical development of the infrastructure, was agreed to and kept behind closed doors, leaving no single narrative of how it was supposed to work.

The Oil Minister could have reneged on a deal with the MNR, or merely intervened to prevent NOC freelancing in oil infrastructure decisions, both of which could scupper the KRG's ambitions to pump oil from Avana through the region's autonomous export pipeline.

The plan, however, required more than technicians to get the oil flowing. It needed political approval and planning to determine, among other core items, how oil money would be processed, who would handle oil sales, and whether the Kirkuk crude would be blended with or kept separate from the KRG's independent exports to Turkey, which would flow in the same pipeline.

And all this in an area now contested between Baghdad, Kurdistan, and ISIS.

The Peshmerga already assumed effective control of Kirkuk city and the areas around the province's oil fields in the wake of the Iraqi Army's retreat from an ISIS-led militant offensive in mid-June.

But until now the KRG has not overtly interfered with the work of the NOC, the Iraqi state-owned entity that administers the fields, though the KRG has been laying the groundwork with the NOC for integrating the two pipeline and oil networks, one way or another.

The move is expected to exacerbate already dangerously tense relations between the KRG and the central government, with the Oil Ministry issuing an unusually quick response.

"The Peshmerga armed forces, accompanied by a number of civilians, entered the stations of crude oil production in the fields of Kirkuk and Bai Hassan at dawn today and expelled workers at those sites," the Oil Ministry said in a statement. "The Ministry warns the Kurdistan region strongly of the seriousness of this irresponsible behavior."

It also disputed there was a deal to connect the infrastructure.

In April, officials from the KRG's Ministry of Natural Resources (MNR) and the NOC held detailed technical meetings to reroute NOC oil through the KRG territory, through a new pipeline Baghdad claims has facilitated oil smuggling.

Essentially, the plan is to move the path of the ITP in Iraq east, away from insurgent territory in Ninewa province, and entirely through Iraqi Kurdistan. A pipeline to be built in two stages would carry crude from the K1 pumping station at Baba, the furthest southeastern formation of the Kirkuk oil field, to facilities at the Avana formation. From Avana, the line would continue to Khurmala Dome, which is under KRG control. The NOC was to pay for the first section, and the KRG was to fund the second, at a cost of \$30 million. Kurdish-Iraqi firm KAR Group would be given both contracts.

The plan was politically sensitive but could have brought in extra money and been a source of compromise and reconciliation.

"The 36-inch pipeline can do 750,000 bpd," a senior NOC official said. "But it should have bigger tanks and boosters, for extraction process, and that needs at minimum three months."

An NOC official involved said that the proposal was sent to the Oil Ministry for approval, which never came. As the project developed, this was interpreted by workers in Kirkuk and Erbil not as a green light, but at least an absence of a red light.

The director general of the NOC, Sameer al-Taie, issued instructions to work with the MNR, two senior NOC officials said. Both were surprised that the Oil Ministry would move forward with the project.

The room for a political deal has vanished, as Iraqi Prime Minister Nouri al-Maliki raged against the KRG in a July 9 televised address, effectively branding Barzani a collaborator with ISIS and Baathist "terrorists". On July 10, Kurdish Ministers in Baghdad declared they would boycott the government, and on July 11, Maliki replaced Iraq's Kurdish foreign minister, Hoshyar Zebari, with Hussain al-Sharistani, Iraq's Deputy Prime Minister for Energy and a member of Maliki's State of Law coalition, according to a statement released by Zebari.

Until July 11, the pipeline project flew under Baghdad's political radar. The pipeline from Khurmala to Avana has been laid, connected and tested, though a senior NOC official said it will take weeks at least to get oil flowing. Two large pumps have been brought south from the DNO pumping station in Feyshkabour in order to facilitate the needed increase in pumping pressure, an official on that project said.

An MNR-NOC team conducted a survey of the K1 to Avana route last week and the pipe, which two officials close to the project said KAR Group had already procured, was ready to be laid. It will likely be delayed after Friday's events, with the focus on connecting Avana to the system first, the senior NOC official said.

"The opportunity [for the KRG to seize Kirkuk's oil fields] arose now because of what the Ministry of Oil decided to do," said an official briefed on the KRG's oil plans. "But this was always on the cards."

Bad blood

In November 2007, Iraqi and Kurdish security forces had a standoff at another of Kirkuk's oil fields.

The Khurmala Dome – one of the Kirkuk field's three elliptical structures, including Avana and the first of Iraq's commercial fields, Baba – is officially in Erbil province but the Oil Ministry was moving forward with longstanding plans to commence development.

The State Company for Oil Projects had contracted with KAR Group to provide engineering and equipment for the field, which was producing 30,000 bpd at the time, but the Peshmerga refused them entry.

Months later – and after an armed standoff – a political deal was reached and Khurmala was officially transferred from the Oil Ministry to MNR control. The field would be dedicated to the Kalak refinery, which KAR was building, and all excess crude would be sent to the ITP for Iraq's State Oil Marketing Organization (SOMO) to sell.

In the seven years since, the facts on the ground have drastically changed, but the tenets of the dispute have not.

Despite protests by Baghdad that only the central government has the authority to sign oil contracts and sell crude in Iraq, the KRG has moved forward with establishing a nearly self-sufficient oil industry of its own.

KAR was given the contract by the MNR to develop Khurmala, which now produces 104,000 bpd, 80,000 bpd of which goes to the KAR-expanded Kalak refinery and the rest sold to domestic buyers.

The KRG has signed 50 production sharing contracts with firms such as ExxonMobil, Chevron, GazpromNeft and Total to explore for oil in its territory as well as land that is officially considered disputed – the remnants of Saddam Hussein's redistricting in his violent Arabization campaign that U.S. and then Iraqi officials thus far declined to reconcile.

In the meantime, fields developed by Norway's DNO (Tawke) and Anglo-Turk firm Genel Energy (Taq Taq) became export ready, with some independent trucked exports through Turkey and Iran and, in 2009 and 2012, limited pipelined exports through SOMO.

With the Oil Ministry refusing to pay contractors or honor the KRG contracts – Baghdad has said the KRG must foot the bill since it signed the deals – the Kurds in 2013 built a pipeline connecting Taq Taq, Khurmala and Tawke to the Turkish side of the Iraq-Turkey Pipeline.

A November 2013 deal between Erbil and Ankara enshrined the terms of the exports via the new pipeline – and gave the new state-controlled Turkish Energy Company rights to Kurdish oil deals and ensured future Kurdish gas exports to Turkey – and in December oil began to flow. The plan also created a mechanism by which oil revenues would go to a bank account in Turkey's Halk Bank, which the KRG would have sole access to.

Turkey ensured the oil was kept separate from SOMO crude from Kirkuk and Bai Hassan fields, including designating specific storage tanks at the port of Ceyhan, which SOMO staff there could see but were prevented from inspecting.

Despite mutual concessions, a deal to regulate the marketing and proceeds of KRG oil exports within an agreed framework proved elusive. On January 8, the MNR issued a press release stating the region would begin unilateral exports in any event. Baghdad began cutting – and some months even eliminated – revenue sharing payments, creating a financial crisis for the KRG and forcing it to move aggressively to find funding.

Since May 22, the MNR has loaded four ships from its storage in Ceyhan, with one being sold for \$106 million to a trader who offloaded it in Israel. The other three remain at sea with Baghdad lawyers and U.S. pressure keeping buyers at bay for fear of legal risk. The Kurds claim to have raised another \$3 billion from Kurdish and international lenders, on the backs of future oil sales.

Post-Mosul paradigm

On March 2, the ITP was bombed by insurgents along the Ninewa-Salahaddin provinces border, and then held the territory, making it impossible for NOC crews to fix it and for exports to restart.

And then on June 9, the Islamic State of Iraq and al-Sham, backed by local tribes, militias and groups led by former Iraqi Army officers, launched a violent campaign that saw it take over territory in Anbar, Ninewa, Kirkuk, Salahaddin and Diyala provinces.

The major cities of Mosul, Fallujah, much of Ramadi, and the entire area surrounding the Baiji refinery are controlled by anti-government forces, as are the Ajeel and Hamrin oil fields, which produced 25,000 bpd. NOC production had been reduced to around 100,000 bpd – to provide 30,000 bpd to the Kirkuk refinery and enough associated gas for power plants, with the rest of the oil either smuggled or reinjected – and now may be as low as 35,000 bpd.

As most Iraqi military commanders fled, and the under-sourced and leaderless army fled, Peshmerga forces filled the gap and in only days the territorial political reality changed.

"Kurdistan will not go back to the position pre-Mosul," Fuad Hussein, the Chief of Staff to Kurdistan President Massud Barzani, told reporters on July 3 during a visit to Washington.

The KRG's border to the south is now almost solely shared with anti-government forces.

And with Friday's move, the NOC's assets are effectively divided between ISIS and the KRG.

Combined, the Bai Hassan, Kirkuk, Jambur and Khabaz oil fields have production capacity of 515,000 bpd, a senior NOC official said, and all under KRG control.

The Oil Ministry, in its statement, accused the KRG of exploiting the fight between Iraqi security forces and ISIS, allegedly taking "advantage of the exceptional circumstances and difficulties experienced by the country, and has raided those important oil sites, which it seized and occupies."

The statement warned of "serious consequences" if it didn't leave.

The KRG, however, sees its takeover as the consequence in itself of what the leaders have called an "economic embargo," the term used to describe Baghdad withholding oil revenues in retaliation for Kurdish independent oil exports.

The KRG says it will pay itself from Kirkuk oil revenue "to make up for the huge financial deficit triggered by the illegal withholding of the KRG's 17 percent share of the federal budget by Baghdad," according to the MNR statement.

The MNR also said it plans to use Kirkuk's oil "primarily to fill the shortage of refined products in the domestic market," the MNR statement said. The region's refineries are already running at capacity from feedstock produced in the region, and it is not clear how the financial aspect of lifting crude from Kirkuk for use in Kurdistan will be accounted for.

A possible means of achieving both greater oil export revenues and improving the supply of refined products to Kirkuk and Kurdistan would be for the MNR to replace feedstock to the region's refineries with Kirkuk crude. This would free up more Kurdish production from the Khurmala field, which supplies the region's largest refinery, for export via pipeline. Since mid-2012 the KRG has exported condensate and crude oil by truck via Turkey in barter for refined products, and some of the increased exports could be effectively swapped for imported fuel.

An MNR spokesman did not immediately comment on the KRG's monetization strategy.

The KRG claims Baghdad owes it over \$6 billion in unpaid revenue sharing and a further \$364 billion in reparations from and before Saddam Hussein's time.

In a July 9 press release, the MNR alleged it could sue anyone purchasing oil from SOMO, on the basis these buyers would be "colluding in, supporting, or facilitating violations of the KRG's rights." Buyers of SOMO marketed crude include several large oil companies invested in Kurdistan, including Chevron, ExxonMobil, and Repsol.

While the KRG's ability to sue a SOMO buyer is highly unlikely, the acquisition of the NOC fields means they0.0.00.59879701y9MdW1pbm9zaXR5R:000dfb56 E:327096.868258038 V:10f1.1519.1.1.16.1.US S:Wahsali [N3]3]N3]ayAircraft [mN]NTk1IDk2LjYy MDYgODYuNjc5NyA4Ny4wMjA1XS9Hcm91cCAxNTUwNCAwIFlvTGVuZ3RoIDczL01hdHJpeFsx L